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UNIT III SERVICE BUSINESS - I

CHAPTER 12 FUNCTIONS OF COMMERCIAL BANKS

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Learning Objectives

To enable the students to

i. understand the primary and secondary functions of commercial banks
ii. explain the diversified banking services
iii. describe the uses of debit, credit and smart cards

Functions of Commercial Banks

They render many valuable services. The important functions of the Commercial banks can be explained with the help of the following chart

12.01 Primary Funtions

The primary functions of a commercial bank are of three types. They are:

I. Accepting Deposits

II. Granting Loans and Advances.

III. Creation of Credit

I. Accepting Deposits

The basic deposit accounts offered by commercial banks are listed below. In these days banks compete with each other to attract customers by adding facilities to these deposit accounts. Broadly deposit accounts can be classified into demand deposits and time deposits.

A. Demand Deposits

These deposits are repayable on demand on any day. This consists of savings deposits and current deposits.

1. Savings Deposits

General public deposit their savings into this account. This account can be opened in one individual's name or more than one name. Section 25 companies also can open savings accounts. Business firms are not permitted to open savings account. The rate of interest allowed on this deposit is lower than fixed deposits. Interest is paid on the basis of the amount and number of days the amount remains credited in the account. The bank provides facilities like cheque book, ATM (Automated Teller Machine) card etc. There is limit on number of ATM card withdrawals from other bank ATMs only. A minimum balance should be maintained in this deposit account. Otherwise penal interest is charged. Beyond a number (20 or 60 leaves) cheque book is available for a fee. Nomination can be registered. Salary account is a type of savings account offered to salaried employees in which zero balance is permitted. Some banks offer overdraft facility. An account inactive for a long period will become dormant account.